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STUDY MATERIAL

CCS (Implementation of National Pension System)

Rules, 2021

Incorporating the Unified Pension Scheme (UPS), 2025

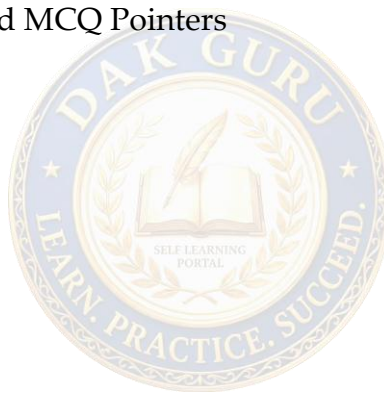
and the PFRDA (Exits & Withdrawals) Amendment Regulations, 2025

Disclaimer

This booklet has been prepared strictly from a departmental examination point of view. Every effort has been made to incorporate the latest amendments, notifications, rules, regulations and Office Memoranda issued by the competent authorities up to the date of publication. In particular, this edition consolidates: (i) the Central Civil Services (Implementation of National Pension System) Rules, 2021 [G.S.R. 227(E) dated 30.03.2021]; (ii) the Unified Pension Scheme (UPS) notified by the Department of Financial Services on 24.01.2025 with effect from 01.04.2025; (iii) the PFRDA (Operationalisation of Unified Pension Scheme under NPS) Regulations, 2025 dated 19.03.2025; (iv) the Central Civil Services (Implementation of the Unified Pension Scheme under the National Pension System) Rules, 2025 dated 02.09.2025; (v) the PFRDA (Exits and Withdrawals under the National Pension System) (Amendment) Regulations, 2025 notified in December 2025; and (vi) all relevant Office Memoranda issued by the Department of Pension & Pensioners' Welfare. References to the Central Civil Services (Pension) Rules, 2021 (which replaced the 1972 Rules) and the Central Civil Services (Extraordinary Pension) Rules, 2023 (which replaced the 1939 Rules) reflect the current statutory position. Readers and students are strongly recommended to refer to official Gazette notifications and the websites of DoP&PW (pensionersportal.gov.in), PFRDA (pfrda.org.in) and the CRAs for the most authoritative and current text.

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Part I — Introduction and Statutory Framework

1.1 Historical Context

The National Pension System (NPS) replaced the defined-benefit Old Pension Scheme (OPS) for Central Government employees who joined service on or after 1st January 2004 (other than members of the Armed Forces). The system was originally introduced by Notification of the Ministry of Finance (Department of Economic Affairs) dated 22.12.2003. NPS is regulated by the Pension Fund Regulatory and Development Authority (PFRDA) constituted under the PFRDA Act, 2013.

1.2 The Governing Framework — A Layered Structure

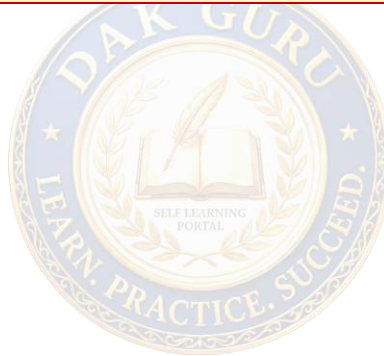
Service matters of Central Government employees under NPS are governed primarily by the following layered framework, each operating within its own sphere:

- Central Civil Services (Implementation of National Pension System) Rules, 2021 — notified vide G.S.R. 227(E) dated 30.03.2021, deals with registration, contributions, options on death/invalidation, and processing of exit claims.
- Central Civil Services (Pension) Rules, 2021 — replaced the 1972 Rules; applicable to pre-2004 entrants and to NPS subscribers in default/option situations under Rule 10.
- Central Civil Services (Extraordinary Pension) Rules, 2023 — replaced the 1939 Rules; applicable in cases of death/disablement attributable to service.
- Central Civil Services (Payment of Gratuity under National Pension System) Rules, 2021 — governs retirement and death gratuity for NPS-covered employees.
- PFRDA (Exits and Withdrawals under NPS) Regulations, 2015, as amended up to December 2025 — governs lump-sum withdrawals, annuitisation thresholds and partial withdrawals.
- Unified Pension Scheme — DFS Notification F. No. FX-1/3/2024-PR dated 24.01.2025, operational w.e.f. 01.04.2025.
- PFRDA (Operationalisation of Unified Pension Scheme under NPS) Regulations, 2025 — notified on 19.03.2025.

- Central Civil Services (Implementation of the Unified Pension Scheme under the National Pension System) Rules, 2025 — G.S.R. 599(E) dated 02.09.2025.
- PFRDA (Exits and Withdrawals under NPS) (Amendment) Regulations, 2025 — notified in December 2025; introduces enhanced flexibility (entry/exit age raised to 85, four partial withdrawals before 60, etc.).

Critical Update — UPS

With effect from 01.04.2025, NPS-covered Central Government employees have a choice between continuing under NPS and opting for the Unified Pension Scheme (UPS) — an assured-pension option operating within the NPS architecture. A one-time, one-way switch from UPS back to NPS is also permitted (Department of Financial Services O.M. dated 25.08.2025), exercisable not later than one year before superannuation or three months before voluntary retirement.



Part II — CCS (Implementation of NPS) Rules, 2021

Rule 1 — Short Title and Commencement

These rules may be called the Central Civil Services (Implementation of National Pension System) Rules, 2021. They came into force on the date of their publication in the Official Gazette, i.e. **30.03.2021** vide G.S.R. 227(E).

Rule 2 — Application

These rules apply to Government servants, including civilian Government servants in the Defence Services, appointed substantively to civil services and posts in connection with the affairs of the Union on or after **1st January 2004**, but do not apply to:

- Railway servants;
- Persons in casual and daily-rated employment;
- Persons paid from contingencies;
- Members of the All-India Services;
- Persons locally recruited for services in diplomatic, consular or other Indian establishments in foreign countries;
- Persons employed on contract;
- Persons whose terms and conditions of service are regulated by or under the provisions of the Constitution or any other law for the time being in force;
- Persons to whom the CCS (Pension) Rules, 2021 apply in accordance with any special or general order issued by the Government.

Clarification — DoP&PW O.M. dated 25.10.2024

The CCS (Implementation of NPS) Rules, 2021 and the OM dated 26.10.2022 are applicable to all Central Government employees covered under NPS. Employees of autonomous bodies do not fall under the jurisdiction of DoP&PW and these Rules/instructions are not suo-moto applicable to them.

Rule 3 — Important Definitions

- **Accredited Bank** — Reserve Bank or any bank appointed to transact business of the Government and officially recognised for transfer of funds to the Trustee Bank.
- **Accumulated Pension Corpus** — Monetary value of pension investments accumulated in the Individual Pension Account of a Subscriber under NPS.
- **Annuity** — Periodic payment by the Annuity Service Provider (ASP) to the Subscriber on purchase of an annuity plan out of the Accumulated Pension Corpus.
- **Authority** — Pension Fund Regulatory and Development Authority (PFRDA) established under Section 3(1) of the PFRDA Act, 2013.
- **Central Recordkeeping Agency (CRA)** — Agency registered under Section 27 of the PFRDA Act, 2013 to perform recordkeeping, accounting, administration and customer service for NPS subscribers.
- **Drawing and Disbursing Officer (DDO)** — Head of Office and also any other Gazetted Officer so designated to draw bills and make payments.
- **Cheque Drawing and Disbursing Officer** — A DDO authorised to withdraw money for specified types of payments against an assignment account opened in his favour in a specified branch of an accredited bank (e.g., CPWD, Forest Department).
- **Pay and Accounts Officer (PAO)** — Officer who maintains the accounts of a Ministry/Department/Office of the Central Government or Union Territory; includes the Accountant-General entrusted with such functions.
- **Permanent Retirement Account Number (PRAN)** — Unique identification number allotted to each Subscriber by the CRA.
- **Emoluments** — As specified in Rule 5 of these Rules.

Rule 4 — Registration into NPS

- A Government servant shall, immediately on joining service, submit an application in the Common Subscriber Registration Form (CSRF) to the Head of Office for registration into NPS.
- The Head of Office shall countersign the application indicating the date of receipt and send it to the DDO within **three working days** of joining; he shall retain a copy for record.
- The DDO shall forward the application to the PAO or Cheque DDO within **three working days** of receipt.
- The PAO/Cheque DDO shall process the application and forward it to the CRA through the online system within **three working days** of receipt from the DDO; a duly signed physical copy shall also be forwarded to the CRA for record.
- The CRA shall complete registration, allocate PRAN and forward the PRAN kit to the Subscriber within the turn-around time specified by PFRDA.
- The PAO/Cheque DDO shall immediately communicate the PRAN to the DDO; the DDO shall immediately communicate it to the Head of Office; the Head of Office shall intimate the PRAN to the Subscriber.
- The PRAN shall be recorded in the CSRF and in the service book of the Subscriber; a certified copy of the CSRF shall be pasted in the service book within **five working days** thereafter.
- The first contribution of the Government servant shall be credited in his Individual Pension Account within **twenty days** of the date of submission of the application or by the last date of the month in which the Government servant joined, whichever is later.
- Where registration is not completed before drawal of salary, such salary shall be paid after withholding the contribution amount; the withheld amount, together with interest under Rule 8, shall be credited to the Individual Pension Account as soon as the PRAN is generated.

Rule 5 — Emoluments

'Emoluments' for the purpose of determining the amount of contribution under NPS means:

- **On duty:** Basic Pay + Non-Practising Allowance (NPA, where applicable) + Dearness Allowance (DA);
- **On leave:** Basic Pay + NPA + DA actually drawn during the leave (or notional emoluments where contribution by Government is computed on a notional basis under the proviso to Rule 7);
- **On suspension:** Subsistence allowance as drawn.

Rule 6 — Contribution by the Subscriber

- The Subscriber shall contribute **10% (ten per cent)** of his emoluments per month — or such other percentage as may be notified from time to time. The amount shall be rounded off to the next higher rupee.
- Contribution may be made at the Subscriber's option during the period of suspension. If the suspension period is later treated as duty/leave with leave salary, the differential contribution shall be credited to the Individual Pension Account with interest at the PPF rate.
- No contribution shall be made during the period of absence from duty (whether on leave or otherwise) for which no pay or leave salary is payable.
- During deputation to a Central/State Government Department or organisation, the Subscriber shall continue to contribute as if not transferred.
- Contributions on arrears of salary due to retrospective increase shall be treated as contributions of the month in which the payment is made.
- The Subscriber shall contribute during the period spent on probation.
- The DDO shall deduct the contribution from the salary and send the bill to the PAO/Cheque DDO with subscriber-wise details by the **20th day** of each month.

- A Subscriber may, at his option, make contributions in excess of the prescribed rate in accordance with the procedure laid down by the Authority and the Government.
- The PAO/Cheque DDO shall prepare and upload the Subscription Contribution File (SCF) and generate a Transaction ID by the **25th day** of each month.
- The PAO/Cheque DDO shall remit the contribution to the Trustee Bank through the Accredited Bank by the **last working day** of each month. The contribution for March shall be remitted on the **first working day of April**.
- In case of delay in crediting due to factors not attributable to the Subscriber, the amount shall be credited along with interest for the delayed period (Rule 8).

Trustee Bank

Axis Bank Ltd. is currently the appointed Trustee Bank for NPS. Deutsche Bank acts as the Custodian of securities under NPS.

Rule 7 – Contribution by the Government

- The Government shall contribute **14% (fourteen per cent)** — or such other percentage as may be notified — of the emoluments of the Government servant to the Individual Pension Account every month. The amount shall be rounded off to the next higher rupee.
- Where leave is granted on medical ground, or due to inability to join on account of civil commotion, or for pursuing higher studies considered useful in discharge of official duty, and leave salary is not payable or is at less than full rate, the Government shall contribute 14% of the notional emoluments (pay + DA + NPA) the Subscriber would have drawn on full pay.
- For a Subscriber under suspension, Government contribution is based on the subsistence allowance. If the Subscriber opts not to pay his contribution during suspension, the Government also does not contribute. If the period is later treated as duty/leave with leave salary, the differential Government contribution shall be credited with interest at the PPF rate.

UPS Variant — Government Contribution Rate

Under UPS (operative from 01.04.2025), the employee contribution remains 10% of (Basic Pay + DA); the Government contributes 10% to the Individual Pension Account of the subscriber and an additional aggregate contribution of approximately 8.5% of (Basic Pay + DA) to a separate Pool Corpus that funds the assured payout. The 14% rate continues to apply only to subscribers who remain under NPS without opting for UPS.

Rule 8 — Interest on Delayed Deposit of Contributions

Where there is delay — due to factors not attributable to the Subscriber — in (a) commencement of monthly contributions on account of delay in registration; or (b) deduction of monthly contribution from salary or its crediting to the Individual Pension Account beyond the prescribed timeline; or (c) crediting of Government contribution to the Individual Pension Account beyond the timeline — interest shall be credited to the Subscriber's account within **thirty days** of crediting the contribution amount.

The rate of interest is the rate decided by the Government from time to time for **Public Provident Fund (PPF)** deposits.

Rule 9 — Investment of the Accumulated Pension Corpus

The Accumulated Pension Corpus of a Subscriber shall be invested by such Pension Fund(s) and in such manner as may be notified by PFRDA. For Government sector subscribers, the default investment pattern follows the Government Pattern; alternative choices are also available (see Part VII).

Rule 10 — Option for Benefits on Death / Invalidation / Disability

This is the most critical compliance rule. Every Government servant covered under NPS shall, at the time of joining service, exercise an option in Form 1 for availing benefits — in the event of his death, or boarding out on account of disablement, or retirement on invalidation — under any one of the following:

- Central Civil Services (Pension) Rules, 2021;
- Central Civil Services (Extraordinary Pension) Rules, 2023; or
- National Pension System [as per PFRDA (Exits and Withdrawals under NPS) Regulations, 2015].

Procedural Requirements

- Government servants already in service who are covered under NPS shall also exercise this option.
- The option in Form 1 shall be exercised to the Head of Office, who, after verifying the facts, shall accept it and place it in the service book.
- A copy of the option shall be forwarded by the Head of Office to the CRA through the DDO and the PAO; the PAO shall also make a suitable entry in the online system.
- Along with Form 1, the Subscriber shall submit family details in Form 2 to the Head of Office.
- If the Subscriber has no family at the time of joining, he shall submit Form 2 as soon as he acquires a family.
- Any subsequent change in the size of family (including marriage of a child) shall be communicated to the Head of Office, who shall incorporate the change in Form 2.
- On manifestation of a disability in a child of the kind referred to in Rule 50 of the CCS (Pension) Rules, 2021, the fact shall be brought to the notice of the Head of Office duly supported by a Medical Certificate from a Medical Officer not below

the rank of a Civil Surgeon. A fresh medical certificate shall be required when the claim for family pension arises.

- The option exercised in Form 1 may be revised any number of times before retirement by submitting a fresh option.
- A Subscriber discharged on invalidation or disability shall be given an opportunity to submit a fresh option at the time of discharge.
- In case of death of a Subscriber while in service, the last option exercised before his death shall be treated as final; the family shall have no right to revise it.

Default Option — Statutory Position

Where no option was exercised:

- If the Subscriber dies (or is discharged on invalidation/disability) before completion of **fifteen years of service** or *within three years of notification of these Rules* (i.e., up to 29.03.2024), the family shall be granted family pension / invalid / disability pension under the CCS (Pension) Rules, 2021 or CCS (Extraordinary Pension) Rules, 2023, as the case may be, as default option.
- In all other cases (i.e., where the Subscriber had completed 15 years' service and the three-year notification window has lapsed), claims shall be regulated under the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015, as default option.
- Where the option exercised by the deceased — or the default option for benefit under CCS (Pension)/EOP Rules — becomes infructuous due to non-availability of an eligible family member, the option shall be deemed invalid and benefits admissible under NPS shall be granted to the legal heir(s) under the PFRDA (Exits and Withdrawals) Regulations, 2015.

Repeated Reminders from DoP&PW

Vide O.M. No. 57/03/2022-P&PW(B)/8361(9) dated 25.10.2024 and earlier OM dated 26.10.2022, all Ministries/Departments have been instructed to ensure that Forms 1 and 2 are obtained from every NPS-covered Central Government employee. Non-

submission shifts the burden to default options that may not be in the family's best interest.

Rule 11 — Retirement on Superannuation

A Subscriber retiring on attaining the age of superannuation (or on expiry of any extension thereof) shall be entitled to benefits as admissible under the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 (or under the UPS, where the option has been exercised).

Rule 12 — Voluntary Retirement on Completion of 20 Years' Regular Service

Any time after a Subscriber has completed **twenty years' regular service**, he may, by giving notice of not less than **three months** in writing to the appointing authority, retire from service.

This rule does not apply to a Subscriber, including a scientist or technical expert, who is:

- On assignments under the Indian Technical and Economic Cooperation (ITEC) Programme of the Ministry of External Affairs and other aid programmes;
- Posted abroad in foreign-based offices of the Ministries/Departments;
- On a specific contract assignment to a foreign Government, unless, after having been transferred to India, he has resumed charge of a post in India and served for not less than one year.

Explanation: 'Regular service' means service commencing from the date of joining a post in the Central Government on a regular basis (direct recruitment, absorption or re-employment), and includes past regular service in another Central/State Government Department or autonomous/statutory body, before joining the present service with proper permission, if such past service is allowed to be counted as qualifying service for gratuity.

- Periods spent on all kinds of leave (including study leave and extraordinary leave), deputation or foreign service, duly sanctioned, shall be treated as regular service.
- Service rendered on casual, ad-hoc or contract basis, before appointment on regular basis, shall not be treated as regular service.

The notice of voluntary retirement requires acceptance by the appointing authority. If the appointing authority does not refuse permission before the expiry of the said period, retirement becomes effective from the expiry date. The Subscriber may request curtailment of the three-month period; the appointing authority may relax the requirement if satisfied that no administrative inconvenience is caused. A Subscriber may withdraw the notice with specific approval, but the request for withdrawal shall be made at least **fifteen days** before the intended date of retirement.

Benefits on voluntary retirement under this rule are the same as on superannuation, governed by the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015.

Rule 13 — Retirement under FR 56 / Special Voluntary Retirement Scheme

A Subscriber retired in advance of the age of compulsory retirement under **Rule 56 of the Fundamental Rules**, or who opts for the Special Voluntary Retirement Scheme of DoPT (O.M. No. 25013/6/2001-Estt.(A) dated 28.02.2002, as amended), shall be entitled to benefits under the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 admissible on superannuation.

A Subscriber declared surplus and opting for the Special VRS is also entitled to the ex-gratia admissible under the Scheme, in addition to NPS benefits. If the Subscriber intends to continue his Individual Pension Account or defer payment beyond retirement, he shall exercise an option accordingly.

Rule 14 — Resignation from Government Service

On resignation (unless allowed to be withdrawn in public interest), the lump sum and annuity from the Accumulated Pension Corpus shall be paid in accordance with the PFRDA Regulations applicable to exit before superannuation. Payment shall not be made

before the expiry of **ninety days** from the date the resignation becomes effective and the Subscriber is relieved of duty.

If the Subscriber dies within these **ninety days**, payment shall be made to the eligible person; that person may opt to continue subscribing with the same PRAN as a non-Government subscriber.

Technical Resignation: Where resignation is submitted with proper permission to take up another appointment in a Department whose employees are covered by NPS, the Subscriber shall continue to subscribe with the same PRAN; he is deemed to be a member of NPS from the date he joined Government service originally. Where the new Department's employees are not covered by NPS, the Subscriber shall be eligible to receive NPS benefits under the 2015 PFRDA Regulations (or may opt to continue as a non-Government subscriber).

Rule 15 — Benefit on Absorption in a Corporation, Company or Body

Where a Subscriber is permitted to be absorbed in or under a corporation, company or body — wholly or substantially owned or controlled by the Central or a State Government — the date of absorption shall be (i) the date on which he actually joins the corporation/company/body on immediate absorption basis; or (ii) the date from which he is relieved on permanent absorption. Benefits shall be admissible under the PFRDA Regulations applicable to exit on superannuation.

Rule 16 — Retirement on Invalidation

Where a Subscriber is invalidated from service under the relevant rules, benefits shall be paid under the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 (or under CCS (Pension)/EOP Rules if the option/default so directs under Rule 10).

Rule 17 — Discharge from Service on Disability

Where a Subscriber suffers a disability as defined under Section 20 of the Rights of Persons with Disabilities (RPwD) Act, 2016 and the provisions of that section are not applicable in his case, he shall be eligible for benefits under the option exercised or the default option under Rule 10. The Persons with Disabilities Rules, 2017 read with the RPwD Act, 2016 protect a disabled employee from retrenchment merely on account of the disability.

Rule 18 — Compulsory Retirement / Dismissal / Removal as Penalty

Where a Subscriber is compulsorily retired as a measure of penalty, or is dismissed or removed from service, benefits shall be paid in accordance with the PFRDA Regulations applicable to such exits — typically lump sum withdrawal not exceeding 20% and minimum 80% annuitisation (subject to threshold relaxations under the December 2025 amendments — see Part IV).

Rule 19 — Death of a Subscriber During Service

On death during service, benefits shall be paid in accordance with the option exercised or the default option under Rule 10. Where the deceased had opted for benefits under the CCS (Pension) Rules, 2021 / CCS (EOP) Rules, 2023, the Government contribution and returns thereon shall be transferred to the Government account, and the Subscriber's own contribution and returns thereon shall be paid to the family. Where NPS is the operative option, benefits flow under the PFRDA (Exits and Withdrawals) Regulations, 2015.

Rule 20 — Family Pension and Other Benefits under CCS (Pension)/EOP Rules

When the option exercised by the Subscriber or the default option directs the grant of benefits under the CCS (Pension) Rules, 2021 / CCS (EOP) Rules, 2023:

- Family pension/invalid pension/disability pension shall be sanctioned to the eligible member(s) by the concerned office, as is done for pre-2004 entrants;

- Simultaneously, the PRAN shall be closed; the Government contribution and returns thereon shall be transferred to the Government account; the Subscriber's own contribution and returns thereon shall be paid to the family/legal heir as a lump sum.

Rule 21 — Intimation by Head of Office to PAO

The Head of Office shall furnish to the PAO, through the DDO, all particulars needed for processing benefits — including service particulars, options, family details and last-pay drawn. A copy shall also be endorsed to the Directorate of Estates if the Subscriber is/was an allottee of Government accommodation.

Rule 22 — Intimation to the Directorate of Estates for 'No Demand Certificate'

The Head of Office shall write to the Directorate of Estates at least **one year** before the anticipated date of retirement of a Subscriber who is/was an allottee of Government accommodation, for issuing a 'No Demand Certificate' in respect of the period preceding **eight months** of retirement. On receipt of the intimation, the Directorate of Estates shall take further action as required.

Rule 23 — Submission of Claim for NPS Benefits on Superannuation

- The Subscriber may submit the claim through such mode as specified by the Authority from time to time.
- Every Subscriber shall, **six months** before the date of retirement on superannuation, or on the date of proceeding on leave preparatory to retirement (whichever is earlier), submit the duly filled withdrawal form prescribed by PFRDA along with the documents specified therein.
- In other cases of retirement or exit, the duly filled withdrawal form shall be submitted immediately after issue of the order of the competent authority.

- Where the claim is submitted online, a signed copy of the print-out of the withdrawal form shall be submitted along with the supporting documents.
- The NPS shall generate claim IDs and inform nodal officers (PAOs/Cheque DDOs) **six months** before the date of retirement of those Subscribers retiring on superannuation in the next six months.

Rule 24 – Completion and Forwarding of Papers

The Head of Office shall complete the papers on his part and forward them to the PAO through the DDO with a covering letter in the appropriate Form, as follows:

Mode of retirement or exit	Form of covering letter
Superannuation or Voluntary Retirement or Premature Retirement under Rule 56(j) of the Fundamental Rules or Special Voluntary Retirement Scheme of DoPT	Form 4-A
Technical Resignation or Absorption in an autonomous body or PSU	Form 4-B
Resignation or Compulsory Retirement as a measure of penalty or Dismissal or Removal from service	Form 4-C
Retirement on Invalidation or Disablement	Form 4-D
Death during service	Form 4-E

- In the case of superannuation, the Head of Office shall forward the complete papers not later than **four months** before the date of retirement. In other cases, not later than **one month** after the date of retirement/exit.
- The Head of Office shall retain a copy of each of the forms and documents for his record.
- After processing the withdrawal request in the online system of the CRA in accordance with the PFRDA Regulations, the PAO shall forward documents to the CRA not later than **one month** before the date of retirement.

- If the Subscriber intends to continue his Individual Pension Account or defer payment beyond retirement, he shall exercise an option and send it to the PAO through the DDO not later than **fifteen days** before superannuation.

Rule 25 — Subscribers on Deputation

- If a Subscriber retires while on deputation to another Central Government Department, action to authorise benefits shall be taken by the Head of Office of the borrowing Department.
- If he retires while on deputation to a State Government or foreign service, action shall be taken by the Head of Office or Cadre authority which sanctioned the deputation.

Rule 26 — Date of Retirement to be Notified

When a Subscriber retires from service:

- A notification in the Official Gazette in the case of a Gazetted Subscriber;
- An office order in the case of a non-Gazetted Subscriber, shall be issued specifying the date of retirement within **one week** of such date. A copy shall be forwarded immediately to the PAO.

Part III — Unified Pension Scheme (UPS), 2025

3.1 Genesis and Legal Basis

- The Union Cabinet approved the Unified Pension Scheme (UPS) on 24.08.2024, based on the recommendations of the T. V. Somanathan Committee constituted to review NPS.
- The Department of Financial Services, Ministry of Finance, notified UPS vide F. No. FX-1/3/2024-PR dated 24.01.2025, as an option under the National Pension System.
- PFRDA notified the PFRDA (Operationalisation of the Unified Pension Scheme under National Pension System) Regulations, 2025 on 19.03.2025.
- The Department of Pension and Pensioners' Welfare notified the Central Civil Services (Implementation of the Unified Pension Scheme under the National Pension System) Rules, 2025 vide G.S.R. 599(E) dated 02.09.2025.
- UPS came into operational effect from 01.04.2025.

3.2 Eligibility — Three Categories

- Existing Central Government employees covered under NPS as on 01.04.2025;
- New recruits joining Central Government service on or after 01.04.2025; and
- Retired NPS subscribers who superannuated/voluntarily retired/retired under FR 56(j) on or before 31.03.2025 — with at least 10 years of qualifying service and where retirement was not a penalty — including the legally wedded spouse of a deceased NPS subscriber who retired but had demised before exercising the UPS option.

UPS is NOT available to

Persons removed, dismissed or compulsorily retired as a penalty; employees with less than 10 years of qualifying service at the time of superannuation; employees of State Governments / autonomous bodies (unless the State/body adopts UPS); members of All-India Services; Railway servants; and the other excluded categories listed in Rule 2 of the CCS (Implementation of UPS under NPS) Rules, 2025.

3.3 Option Window — Key Deadlines

- Existing employees / retirees were originally required to exercise the option within three months from 01.04.2025; the deadline was extended progressively to 30.09.2025 and then to 30.11.2025 (and may be further extended by the Central Government).
- New recruits joining on or after 01.04.2025 must exercise the option within 30 days of joining service.
- Employees who joined between 01.04.2025 and 31.08.2025 and had initially opted for NPS were given a one-time opportunity up to 30.09.2025 to migrate to UPS (PFRDA circular dated 14.09.2025).
- If no option is exercised, NPS remains the default — the employee continues under NPS.

3.4 Contribution Structure under UPS

- **Employee Contribution:** 10% of (Basic Pay + DA) — same as NPS.
- **Government Contribution to Individual Pension Account:** 10% of (Basic Pay + DA) — matching contribution.
- **Additional Government Contribution to Pool Corpus:** an aggregate amount of approximately 8.5% of (Basic Pay + DA) of all UPS-enrolled employees, paid into a separate Pool Corpus managed centrally to fund assured payouts. This is not credited to the individual subscriber's account.
- **Total Government Outflow:** approximately 18.5% of (Basic Pay + DA), as against the 14% under NPS.

3.5 Benefits under UPS — Assured Payout Structure

(i) Full Assured Payout

- 50% of the average of last twelve months' basic pay drawn immediately prior to superannuation, payable monthly.
- Available only on completion of minimum 25 years (300 months) of qualifying service.

- In case of voluntary retirement after 25 years, assured payout commences from the date on which the employee would have superannuated, had service continued.

(ii) Proportionate Payout

For qualifying service less than 25 years but **not less than 10 years**:

$$\text{Proportionate Payout} = (\text{Full Assured Payout}) \times (\text{Qualifying months of service} \div 300)$$

- If qualifying service is less than 120 months (10 years), UPS is not applicable.

(iii) Minimum Guaranteed Payout

- **₹10,000 per month** is assured where superannuation is after 10 years or more of qualifying service, subject to timely and regular credit of contributions and absence of final withdrawals reducing the benchmark corpus.

(iv) Family Payout

- On the death of a UPS subscriber after retirement, the legally wedded spouse receives 60% of the admissible payout drawn by the subscriber immediately prior to demise.

(v) Lump Sum Payment on Retirement

- Payable on superannuation, voluntary retirement (after 20+ years) or retirement under FR 56(j):

$$\text{Lump Sum} = (1/10) \times (\text{Last Drawn Basic Pay} + \text{DA}) \times (\text{number of completed six-month periods of qualifying service})$$

- This lump sum is in addition to the assured payout and does not reduce it.

(vi) Gratuity

Retirement gratuity and death gratuity are extended to UPS subscribers under the provisions of the **Central Civil Services (Payment of Gratuity under NPS) Rules, 2021** (read with the 2025 Amendment Rules), confirmed by DoP&PW O.M. No. 57/01/2025-P&PW(B)/UPS/10498 dated 18.06.2025.

(vii) Dearness Relief

- Payable on both the admissible payout (assured pension) and family payout, linked to the All India Consumer Price Index for Industrial Workers (AICPI-IW), as notified by the Government from time to time.

3.6 Voluntary Retirement under UPS

- VRS is permitted after completion of 20 years of service.
- On VRS after 20 years but less than 25 years, the proportionate Assured Payout is payable, computed as $(\text{qualifying months of service} \div 300)$ of the full assured payout.
- The full assured payout (50% of last 12-month average basic pay) is available only on completion of 25 years' qualifying service.

3.7 Final Withdrawal under UPS

- A UPS subscriber may withdraw up to 60% of the Individual Corpus (IC) or Benchmark Corpus (BC), whichever is lower, as a lump sum on exit. This reduces the assured payout proportionately.
- Option is available to replenish the shortfall to restore the full assured payout.

3.8 Death, Disability or Invalidation During Service of a UPS Subscriber

Vide DoP&PW O.M. No. 57/01/2025-P&PW(B)/UPS/10498 dated 18.06.2025, Central Government employees opting for UPS may choose, in Form 1, between benefits under the UPS, the **CCS (Pension) Rules, 2021**, or the **CCS (Extraordinary Pension) Rules, 2023** in the event of death/invalidation/disability during service.

- The option may be revised any number of times before retirement.
- If no option is exercised and death occurs in service, the last option (or default) prevails; the family has no right to revise.
- Death gratuity is payable to the family in accordance with the CCS (Payment of Gratuity under NPS) Rules, 2021.

3.9 One-Time, One-Way Switch from UPS to NPS

Vide DFS O.M. dated 25.08.2025 (read with Rule 17 of the CCS (Implementation of UPS under NPS) Rules, 2025):

- UPS subscribers may switch back to NPS — once and for all — on a one-way basis.
- The switch may be exercised **not later than one year before the date of superannuation**, or **three months before the deemed date of retirement** in case of voluntary retirement.
- Similar provisions apply (with minor modifications) for resignation and FR 56(j) cases.
- Switch is NOT permitted in cases of removal, dismissal or compulsory retirement as penalty, or where disciplinary proceedings are ongoing or contemplated.
- Once the switch is exercised, the Government's differential contribution (4% — being the difference between the NPS rate of 14% and the UPS Individual Pension Account rate of 10%) is added to the individual's NPS corpus at the time of exit; the subscriber loses all entitlements under UPS, including the assured payout.
- If no switch is exercised within the prescribed window, the employee continues under UPS by default.

Comparative Snapshot — NPS vs UPS

Both schemes operate within the NPS architecture. NPS is a pure defined-contribution scheme with market-linked returns and a 60:40 lump-sum-to-annuity split on superannuation. UPS adds an assured payout layer of 50% of last 12-month average basic pay (after 25 years), a minimum guaranteed pension of ₹10,000/month (after 10 years), 60% family pension to spouse, dearness relief, and a separate lump sum equal to 1/10th of (Basic + DA) per completed six-month period of service. The trade-off is that UPS does not allow free choice of pension fund manager or investment pattern; it operates within a regulated benchmark.

Part IV — PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 — Government Sector

4.1 Composition of PFRDA

As constituted under Section 4 of the PFRDA Act, 2013:

- **Chairperson — 1:** holds office for 5 years or till attaining the age of 65 years, whichever is earlier.
- **Whole-time Members — 3:** hold office for 5 years or till attaining the age of 62 years, whichever is earlier.
- **Part-time Members — 3:** hold office for 5 years.

4.2 Categorisation of Subscribers for Exit Purposes

- Government Sector subscribers (Central, State, Central Autonomous Bodies, State Autonomous Bodies);
- Non-Government Sector subscribers (All Citizen Model and Corporate Sector); and
- NPS-Lite / Swavalamban subscribers.

4.3 Exits Covered under the Government Sector

- Superannuation / normal exit;
- Voluntary retirement on completion of 20 years' qualifying service;
- Retirement under FR 56 or Special VRS of DoPT;
- Absorption in or under a corporation, company or body;
- Retirement on invalidation or discharge on disablement;
- Technical resignation (where the new department's pension rules differ);
- Resignation, compulsory retirement, dismissal or removal from service;
- Death during service.

4.4 Retirement on Superannuation / Normal Exit

- **Lump Sum Withdrawal:** Up to 60% of the Accumulated Pension Wealth (APW).
- **Annuity Purchase:** At least 40% of the APW.
- The annuity from the ASP provides pension to the Subscriber → on his demise, pension to spouse → on spouse's demise, pension to dependent mother/father → after demise of all annuitants, purchase price refunded to surviving child(ren), or to legal heir in their absence.

4.5 Deferment of Lump Sum and Annuity (Government Sector)

Post-60 years (on superannuation):

- **Lump Sum Withdrawal:** Can be deferred and withdrawn till age 85 — in a single tranche or via Systematic Lump Sum Withdrawal (SLW) — at frequency Monthly / Quarterly / Half-yearly / Annual. Fresh contributions and conditional/partial withdrawals are not allowed during deferment.
- **Annuity Purchase:** Can be deferred till age 85 of the Subscriber.

4.6 Continuation of NPS Account after Superannuation

- A Subscriber may continue contributing to NPS beyond the age of 60 (or superannuation) up to age 85.
- The intimation to CRA through the PAO should ordinarily be given prior to retirement; under the December 2025 PFRDA Amendment, the prior 15-day intimation requirement has been removed and continuation is now automatic.
- Exit is permitted at any time during the continuation period.

4.7 Stoppage of Last Month's Deduction at Superannuation

- No contribution is deducted from the salary of the last month of service.
- The employer (Government) co-contribution will, however, be paid along with the salary of the employee for that month.

4.8 Government Sector — Retirement / Discharge Slabs (Effective December 2025)

The PFRDA (Exits and Withdrawals under NPS) (Amendment) Regulations, 2025 (notified in December 2025) raised the 100% lump-sum withdrawal threshold for the Government sector from ₹5 lakh to ₹8 lakh and rationalised the slab structure as follows:

Exit Scenario	APW Slab	Lump Sum	Annuity
Superannuation or Discharge	≤ ₹8 lakh	100%	Not applicable
	> ₹8 lakh	Up to 60%	At least 40%
Resignation / Removal / Pre-mature Exit	≤ ₹5 lakh	100%	Not applicable
	> ₹5 lakh	Up to 20%	At least 80%
Death during service (NPS option)	≤ ₹8 lakh	100% (to nominee/legal heir)	Not applicable
	> ₹8 lakh	Up to 20%	At least 80% (to spouse / family / legal heir)

Key December 2025 PFRDA Amendments

(1) Entry/exit age limit raised from 75 to 85 years for both Government and non-Government subscribers. (2) Lump-sum withdrawal threshold raised from ₹5 lakh to ₹8 lakh in Government sector. (3) Five-year lock-in for premature exit removed in All Citizen Model. (4) Partial withdrawals before age 60 increased from three to four times. (5) Mandatory interval between partial withdrawals fixed at four years. (6) Post-60 partial withdrawals permitted with minimum gap of three years. (7) Lien/charge on Individual Pension Account permitted up to 25% of own contribution for loans from regulated financial institutions. (8) For non-Government subscribers, annuitisation requirement on normal exit reduced to a minimum of 20% (allowing up to 80% lump-sum). (9) Systematic Unit Redemption (SUR) introduced as an alternative payout structure spread over a minimum of six years.

Part V — Exit Provisions for Non-Government and NPS-Lite Sectors

5.1 Non-Government Subscribers (All Citizen Model and Corporate Sector)

After the December 2025 PFRDA Amendment Regulations, exit options for non-Government subscribers are significantly liberalised. The applicable structure is as follows:

Exit Event	APW Slab	Lump Sum	Annuity
Normal Exit (≥ 15 years subscription OR on attaining 60 years OR on superannuation OR physical incapacitation)	$\leq ₹8$ lakh	100%	Not applicable
	$> ₹8$ lakh	Up to 80%	At least 20%
Premature Exit (voluntary)	$\leq ₹5$ lakh	100%	Not applicable
	$> ₹5$ lakh	Up to 20%	At least 80%
Death of Subscriber	Any APW	Up to 100%	Optional (up to 100%)
Subscribers joining on/after age 60 — Normal Exit (after 3 yrs in NPS, or earlier under revised rules)	$\leq ₹12$ lakh	100%	Not applicable
	$> ₹12$ lakh	Up to 80%	At least 20%
Loss of Indian citizenship	Any APW	100% lump sum (closure of account)	Not applicable

- Systematic Unit Redemption (SUR) — Non-Government subscribers may now opt to draw the lump-sum portion through SUR, spread over a minimum of six years, as an alternative to a one-shot withdrawal.
- One-way switch from Unorganised Sector Tier-I to Corporate Sector Tier-I is permitted on change of employment.

5.2 NPS-Lite and Swavalamban Subscribers

- Mandatory annuitisation at a minimum 40% of the accumulated pension wealth, with the resulting monthly annuity required to be at least ₹1,000 per month, failing which the entire wealth shall be annuitised so as to yield at least ₹1,000/month, with the balance, if any, paid as lump sum.
- There is no implicit or explicit guarantee that the annuity from the entire wealth will yield ₹1,000/month.
- Where the accumulated pension wealth does not exceed **₹2 lakh**, the whole wealth shall be paid to the subscriber without annuitisation.
- Migration of a Swavalamban subscriber to any other approved pension scheme of the Government of India shall not be deemed an exit/withdrawal.
- On death of a subscriber before attaining **60 years**, the entire accumulated pension wealth shall be paid to the nominee/legal heir; there is no mandatory annuitisation. The nominee/family may, however, opt to purchase annuity if desired.
- Where no nomination was registered before death, payment shall be made to family members on the basis of a legal heir certificate (from Revenue authorities) or a succession certificate (from a court of competent jurisdiction).

Exit Event	APW Slab	Lump Sum	Annuity
Attaining age 60	≤ ₹2 lakh	100%	Not applicable
	> ₹2 lakh	Up to 60%	At least 40%
Death	Any APW	Up to 100%	Optional up to 100%

Exit Event	APW Slab	Lump Sum	Annuity
Before age 60 (premature)	$\leq$ ₹2 lakh	100%	Not applicable
	$>$ ₹2 lakh	Up to 20%	At least 80%



Part VI — Partial Withdrawals and Tier-II Account

6.1 Partial Withdrawals from Tier-I — Permissible Purposes

A subscriber may make a partial withdrawal from the accumulated pension wealth of Tier-I (excluding employer's contribution) before exit from NPS, for the following purposes only:

- Higher education of children, including legally adopted child;
- Marriage of children, including legally adopted child;
- **Purchase or construction of a residential house/flat** in own name or jointly with the legally wedded spouse — provided the subscriber does not already own a residential house/flat (other than ancestral property) — explicitly permitted as a **one-time** withdrawal in the entire service tenure;
- **Medical treatment or hospitalisation** of self, legally wedded spouse, children (including legally adopted) or parents. *Following the December 2025 PFRDA Amendment, the earlier restriction to a specified list of critical illnesses (cancer, kidney failure, multiple sclerosis, heart valve surgery, etc.) has been replaced by a broader allowance covering medical treatment/hospitalisation without prescribing any specific disease list;*
- Medical and incidental expenses arising out of disability or incapacitation suffered by the subscriber;
- Settlement of a financial obligation availed by the subscriber from a regulated financial institution against the lien/charge marked on the Individual Pension Account.

Purposes Removed by December 2025 Amendment

The earlier purposes of 'skill development, re-skilling or self-development activities' and 'establishing a start-up or own venture' have been removed from the list of permitted purposes for partial withdrawal.

6.2 Eligibility and Limits

- The subscriber must have been in NPS for at least **three years** from the date of joining (this minimum lock-in is relaxed in the All Citizen Model after the December 2025 amendments, but continues to apply for Government sector partial withdrawals).
- The amount withdrawn shall not exceed **25% of the own contributions** of the subscriber (excluding employer/Government contribution).

6.3 Frequency (Post December 2025 Amendment)

- **Before age 60:** A maximum of **four (4)** partial withdrawals during the entire tenure of subscription — increased from the earlier limit of three.
- Mandatory interval between successive withdrawals: **four years** (not applicable in case of specified medical situations or death-triggered withdrawal).
- **After age 60 (continuation in NPS beyond superannuation):** Partial withdrawals permitted with a minimum interval of **three years**, capped at 25% of own contributions. Amount drawn is from (a) the contribution stream where there is only one, or (b) own contribution where there are multiple streams.

6.4 Lien / Charge on Individual Pension Account

- Pursuant to the December 2025 PFRDA Amendment, a subscriber may avail financial assistance from a regulated financial institution against the Individual Pension Account.
- The lender is permitted to mark a lien/charge on the account.
- The lien/charge is restricted to 25% of the subscriber's own contribution — aligned with the partial withdrawal cap.
- Detailed operational guidelines (procedures, conditions for lenders, intermediaries and record-keeping agencies) will be issued separately by PFRDA.

6.5 Tier-II Account

- A subscriber with a valid and active Tier-II Account may withdraw the accumulated wealth — in full or in part, at any time — in such mode and manner as may be specified by the Authority.
- There is no limit on the number of such withdrawals as long as the account has sufficient funds to cover the applicable charges and the withdrawal amount.
- The Tier-II Account stands automatically closed at the time of exit of the subscriber from NPS, even if no specific application has been received from him; the accumulated wealth shall be transferred to the subscriber's bank account provided in the exit application.

6.6 National Pension Scheme Tier-II — Tax Saver Scheme, 2020

- Short title: National Pension Scheme Tier-II — Tax Saver Scheme, 2020 — notified on 07.07.2020 (date of publication in the Official Gazette).
- **Eligibility:** Central Government employees only.
- **Investment:** Minimum contribution to activate the specified account is ₹1,000; minimum subsequent contribution is ₹250.
- **Lock-in:** Contributions under this scheme have a lock-in of **three years** from the date of credit to the specified account.
- **Transferability:** Contributions cannot be assigned, pledged or hypothecated during the lock-in period.
- **Tax Benefit:** Contributions are eligible for deduction under Section 80C of the Income-tax Act, 1961 (subject to the overall ₹1.5 lakh ceiling of Section 80CCE), under the Old Tax Regime.

Part VII — Investment Options, Pension Funds and ASPs

7.1 Central Recordkeeping Agencies (CRAs)

Three CRAs are currently registered with PFRDA (in alphabetical order):

- Computer Age Management Services Limited (CAMS) — CRA003 — www.camsnps.com / www.camsnps.in
- KFin Technologies Limited — CRA002 — <https://nps.kfintech.com>
- Protean eGov Technologies Limited (formerly NSDL e-Governance Infrastructure Limited) — CRA001 — <https://npskra.proteantech.in> (informational) and <https://cra.nps-proteantech.in> (transaction portal)

7.2 Pension Funds (PFs) for the Government Sector

- SBI Pension Funds Private Limited
- LIC Pension Fund Limited
- UTI Retirement Solutions Limited

7.3 Pension Funds (PFs) for the Non-Government Sector

- SBI Pension Funds Private Limited
- LIC Pension Fund Limited
- UTI Retirement Solutions Limited
- HDFC Pension Management Company Limited
- ICICI Prudential Pension Funds Management Company Limited
- Kotak Mahindra Pension Fund Limited
- Aditya Birla Sun Life Pension Management Limited
- Axis Pension Fund Management Limited
- DSP Pension Fund Managers Private Limited
- Tata Pension Management Private Limited

Recent Changes in PF Roster

(1) Max Life Pension Fund Management Limited's schemes were discontinued with effect from 18.04.2025 as per PFRDA's regulatory directions. (2) PPFAS Asset Management's entry into NPS as a Pension Fund Manager has been approved by PFRDA (announced in April 2026); subscribers should check the PFRDA website for the current operational status.

7.4 Investment Choices for Government Sector Subscribers

A Central Government NPS Subscriber (Tier-I) may choose any one of the available Pension Funds and one of the following investment options:

- **(a) Default Pattern (Government Pattern):** Up to 15% in Equity (E), up to 45% in Government Securities (G), up to 45% in Corporate Bonds (C), and up to 5% in Alternate Investment Funds (A) — as per the Government investment guidelines.
- **(b) Active Choice:** Subject to caps, the subscriber may allocate among E, C, G and A; under the Government pattern available to Central Government employees, an active choice of 100% in Government Securities (G) is also permitted.
- **(c) Conservative Auto Choice (Lifecycle 25 / LC 25):** 25% in Equity (E), 45% in Corporate Bonds (C), and 30% in Government Securities (G) up to age 35; after 35, E and C decrease and G increases progressively. At age 55+, E:C:G = 5:5:90.
- **(d) Moderate Auto Choice (Lifecycle 50 / LC 50):** 50% in E, 30% in C, 20% in G up to age 35; thereafter E and C decrease and G increases. At age 55+, E:C:G = 10:10:80.
- **(e) Aggressive Life Cycle Fund (LC 75) and Balanced Life Cycle Fund (BLC):** Extended to Central Government employees under NPS and UPS by separate Gazette notification of the Department of Financial Services. LC 75 has up to 75% equity exposure at the start of the lifecycle.
- Asset allocation can be changed up to four times in a financial year; the Pension Fund can be changed once in a financial year.

7.5 Annuity Service Providers (ASPs)

At present, the following insurance companies are empanelled by PFRDA as ASPs under NPS (the list is updated by PFRDA from time to time):

- Life Insurance Corporation of India
- HDFC Life Insurance Co. Ltd.
- ICICI Prudential Life Insurance Co. Ltd.
- SBI Life Insurance Co. Ltd.
- Star Union Dai-ichi Life Insurance Co. Ltd.
- Kotak Mahindra Life Insurance Co. Ltd.
- IndiaFirst Life Insurance Co. Ltd.
- Max Life Insurance Co. Ltd.
- Canara HSBC Life Insurance Company Limited
- Bajaj Allianz Life Insurance Company Limited
- Tata AIA Life Insurance Company Ltd.
- Edelweiss Life Insurance Company Limited (formerly Edelweiss Tokio Life)
- PNB MetLife India Insurance Company Limited
- Shriram Life Insurance Company Ltd.
- Aditya Birla Sun Life Insurance Company Ltd.

7.6 Annuity Variants Offered by ASPs

- **Annuity for Life:** Annuity payable to the annuitant at a consistent rate; on death of the annuitant, the policy terminates and no further benefit is payable.
- **Annuity for Life with 100% to Spouse on death of annuitant:** Annuity payable to the subscriber and thereafter to the spouse. On death of the last survivor, payments cease and no further amount is payable.
- **Annuity for Life with Return of Purchase Price (RoP):** Annuity for life; on death of annuitant, the purchase price is returned to the nominee and the policy terminates.

- **Joint Life Annuity with 100% to Spouse and RoP:** Annuity payable as long as either annuitant is alive; on death of primary annuitant the secondary receives 100% of original annuity; on death of last survivor, 100% of purchase price returned to nominee.
- **NPS Family Income (Default Annuity for Government Subscribers):** Annuity to subscriber and spouse for life; on death of both, annuity payable to dependent mother and then to dependent father; on demise of last survivor, purchase price refunded to subscriber's child/nominee/legal heir.

7.7 Minimum Contribution Criteria under NPS

Particulars	Tier-I	Tier-II
Initial Contribution	₹500	₹1,000
Minimum amount per Contribution	₹500	₹250
Minimum contribution per financial year	₹1,000	NIL

Part VIII — Tax Benefits under NPS and UPS

8.1 Tax Benefits under the Old Tax Regime

- **Section 80CCD(1):** Own contribution by employee — up to 10% of (Basic + DA) for salaried; or 20% of Gross Total Income for self-employed — within the overall ceiling of ₹1.5 lakh under Section 80CCE (which also covers 80C and 80CCC).
- **Section 80CCD(1B):** Additional deduction of up to **₹50,000** for NPS Tier-I contributions — over and above the ₹1.5 lakh limit of Section 80CCE. Exclusively for NPS subscribers.
- **Section 80CCD(2):** Employer's contribution — deductible up to **14% of (Basic + DA)** for Central/State Government employees; up to 10% for other salaried employees. This is *over and above* the ₹1.5 lakh ceiling.
- **Section 10(12A):** Up to 60% of the total corpus withdrawn as lump sum at the time of closure or opting out, on or after attaining 60 years or superannuation, is exempt from tax.
- **Section 10(12B):** Up to 25% of own contribution withdrawn as partial withdrawal from NPS Tier-I (subject to PFRDA conditions) is exempt from tax.
- **Amount used to purchase Annuity:** Fully exempt from tax at the time of purchase under Section 80CCD(5). However, the annuity/pension received in subsequent years is taxable as income in the year of receipt.

8.2 Tax Benefits under the New Tax Regime (Section 115BAC)

Major Change — Budget 2024

Budget 2024 (and the Finance Act, 2024) raised the deduction under Section 80CCD(2) for employer's contribution under the New Tax Regime from 10% to 14% of (Basic + DA) — effective from FY 2024-25 (Assessment Year 2025-26) for employees opting for the New Regime. This brings parity between Government and non-Government employees under the New Regime; for the Old Regime, the 10% limit continues for non-Government employees.

- **Section 80CCD(2):** Employer's contribution — deductible up to **14% of (Basic + DA)** for both Government and non-Government employees who opt for the New Tax Regime. This is the only NPS-related tax benefit available in the New Regime — Sections 80CCD(1) and 80CCD(1B) are not available.
- **Section 10(12A):** Up to 60% of corpus withdrawn as lump sum on superannuation/age 60 is exempt from tax; the 40% used for annuity purchase is exempt at the time of purchase but the resulting annuity is taxable.

8.3 Tax Treatment of UPS Subscribers

Vide CBDT Office Memorandum dated 02.07.2025, the Government has decided that tax benefits available under NPS shall apply *mutatis mutandis* to UPS, as UPS is an option under NPS. Specifically, the following provisions of the Income-tax Act, 1961 apply to UPS:

- Section 80CCD(1) — deduction for own contribution (up to 10% of salary, within ₹1.5 lakh ceiling — Old Regime only);
- Section 80CCD(1B) — additional ₹50,000 deduction (Old Regime only);
- Section 80CCD(2) — deduction for Government/employer contribution up to 14% of salary (Old and New Regimes);
- Section 80CCD(3), (4) — taxability of receipts, where applicable;
- Section 10(12A) — exemption on lump-sum withdrawal up to 60%;
- Section 10(12B) — exemption on partial withdrawal up to 25% of own contribution.

8.4 Tier-II Tax Saver Scheme, 2020 — Tax Treatment

- Contributions to the Tier-II Tax Saver Scheme by Central Government employees are eligible for deduction under Section 80C — within the overall ₹1.5 lakh ceiling — under the Old Tax Regime only.
- Lock-in period: 3 years from the date of contribution; cannot be assigned, pledged or hypothecated during this period.

8.5 Tax Benefits under NPS Vatsalya (introduced in 2024)

- NPS Vatsalya, introduced in September 2024, allows parents/guardians to open NPS accounts for minor children.
- Budget 2025 (Finance Act, 2025) extended the tax benefits under Section 80CCD(1B) to NPS Vatsalya contributions (up to ₹50,000) — subject to the operative limits and conditions notified.



Part IX — Quick-Reference Tables and Key Numbers

9.1 Statutory Time-Limits — Quick Reference Table

Action / Event	Time-limit
HoO to forward CSRF to DDO (from joining)	3 working days
DDO to forward to PAO/Cheque DDO	3 working days
PAO/Cheque DDO to forward to CRA online	3 working days
PRAN to be pasted in service book (after intimation)	5 working days
First contribution to be credited to IPA	20 days from application OR last date of month of joining (whichever is later)
DDO to send bill with contribution details to PAO	By 20th day of each month
PAO/Cheque DDO to upload SCF and generate Transaction ID	By 25th day of each month
PAO to remit contributions to Trustee Bank via Accredited Bank	Last working day of each month
Remittance of March contribution to Trustee Bank	First working day of April
Interest on delayed contribution to be credited	30 days from crediting of contribution
Notice for VR under Rule 12 (20-year service)	Minimum 3 months
Withdrawal of VR notice — before intended retirement date	At least 15 days
Payment of lump sum/annuity on resignation — not before	90 days from effective date of resignation
HoO to write to Dte. of Estates — before retirement	1 year (NDC for 8 months preceding retirement)
Subscriber to submit withdrawal form — before superannuation	6 months

Action / Event	Time-limit
CRA to inform nodal officers of upcoming retirements	6 months before retirement
HoO to forward papers to PAO — before superannuation	4 months
HoO to forward papers in other exit cases	Within 1 month of retirement/exit
PAO to forward documents to CRA before retirement	Not later than 1 month before retirement
Option to continue/defer Individual Pension Account beyond retirement	Not later than 15 days before superannuation
Issue of Gazette notification / office order on retirement	Within 1 week of retirement date
Continuation of NPS / Deferment till — Maximum age	85 years (raised from 75 in Dec 2025 Amendment)
UPS — Full assured payout requires qualifying service of	25 years (300 months)
UPS — Minimum qualifying service for proportionate payout	10 years (120 months)
UPS — VRS permitted after qualifying service of	20 years
UPS — Minimum guaranteed payout (after 10+ years)	₹10,000 per month
UPS — Family payout to spouse — % of subscriber's payout	60%
UPS to NPS switch — not later than (before superannuation)	1 year before superannuation / 3 months before VRS
Partial withdrawal — minimum service required	3 years from joining (Government sector)
Partial withdrawal — maximum amount as % of own contribution	25%
Partial withdrawal — frequency (before age 60)	Maximum 4 times (Dec 2025 Amendment)

Action / Event	Time-limit
Mandatory interval between partial withdrawals	4 years (3 years post-age-60)

9.2 Contribution Rates — At a Glance

Scheme / Option	Employee	Government
NPS (without UPS option)	10% of (Basic + DA)	14% of (Basic + DA) to Individual Pension Account
UPS option (Individual Pension Account)	10% of (Basic + DA)	10% of (Basic + DA)
UPS — additional Pool Corpus	Nil	~8.5% of aggregate (Basic + DA) (centralised)

9.3 PFRDA Chairperson / Members — Tenure

Position	Number	Tenure / Age Limit
Chairperson	1	5 years OR age of 65 — whichever is earlier
Whole-time Members	3	5 years OR age of 62 — whichever is earlier
Part-time Members	3	5 years

Part X — Exam-Focused MCQ Pointers

The following high-yield pointers are frequently asked in LDCE IP / PS Group B departmental examinations. Each pointer is directly examinable as an MCQ.

10.1 NPS Foundational Numbers

- NPS replaced OPS for Central Government employees joining on or after 01.01.2004 (except Armed Forces).
- CCS (Implementation of NPS) Rules, 2021 — notified on 30.03.2021 vide G.S.R. 227(E).
- Employee contribution: 10% of (Basic + DA); Government contribution: 14% of (Basic + DA) under NPS.
- PRAN — allotted by the CRA after registration; pasted in the service book within 5 working days of intimation.
- First contribution to be credited within 20 days of CSRF submission or by last date of joining month, whichever is later.
- Interest on delayed deposit — at PPF rate; credited within 30 days.

10.2 UPS Distinctives

- UPS notified by DFS on 24.01.2025; operational w.e.f. 01.04.2025.
- CCS (Implementation of UPS under NPS) Rules, 2025 notified on 02.09.2025 vide G.S.R. 599(E).
- PFRDA (Operationalisation of UPS under NPS) Regulations, 2025 notified on 19.03.2025.
- UPS full assured payout = 50% of last 12-month average basic pay, after 25 years' qualifying service.
- Minimum guaranteed pension under UPS = ₹10,000/month after 10 years' service.
- Family pension under UPS = 60% of subscriber's payout to legally wedded spouse.
- UPS lump sum on retirement = $(1/10) \times (\text{Last Basic} + \text{DA}) \times (\text{Number of completed 6-month periods of qualifying service})$.

- VRS under UPS permissible after 20 years' service; full payout still requires 25 years.
- One-time switch from UPS to NPS — at least 1 year before superannuation or 3 months before VRS; not permissible for removal/dismissal/disciplinary cases.

10.3 Tax Benefits

- 80CCD(1) — own contribution up to 10% of salary (salaried) or 20% of GTI (self-employed), within ₹1.5 lakh ceiling [Old Regime only].
- 80CCD(1B) — additional ₹50,000 for NPS Tier-I [Old Regime only].
- 80CCD(2) — employer contribution: 14% (Govt, both regimes); 14% (private under New Regime — Budget 2024); 10% (private under Old Regime).
- Section 10(12A) — 60% lump-sum withdrawal at retirement is tax-free.
- Section 10(12B) — partial withdrawal up to 25% of own contribution is tax-free.
- Tier-II Tax Saver Scheme, 2020 — only for Central Government employees; lock-in 3 years; Section 80C deduction (Old Regime); initial ₹1,000, subsequent minimum ₹250.

10.4 Exit and Withdrawal — Government Sector (Post Dec 2025 Amendment)

- Maximum age for continuation in NPS / deferment of payout: 85 years (raised from 75).
- On superannuation: $APW \leq ₹8 \text{ lakh}$ → 100% lump sum; $APW > ₹8 \text{ lakh}$ → up to 60% lump sum + minimum 40% annuity.
- On resignation: $APW \leq ₹5 \text{ lakh}$ → 100% lump sum; $APW > ₹5 \text{ lakh}$ → up to 20% lump sum + minimum 80% annuity.
- On death during service (NPS option): $APW \leq ₹8 \text{ lakh}$ → 100% to family; $APW > ₹8 \text{ lakh}$ → up to 20% lump sum + 80% annuity to family.

10.5 Pension Fund Managers & CRAs

- Government Sector PFs (3 only): SBI, LIC, UTI.

- CRAs (3): Protean eGov Technologies (formerly NSDL e-Gov), KFin Technologies, CAMS.
- Trustee Bank: Axis Bank Ltd.
- Custodian: Deutsche Bank.
- Max Life Pension Fund schemes discontinued w.e.f. 18.04.2025.

10.6 Default Annuity for Government Subscribers

- 'NPS Family Income' — annuity to subscriber and spouse for life, then to dependent mother, then to dependent father, then purchase price returned to child/nominee/legal heir.

10.7 Partial Withdrawal — Government Sector

- Minimum 3 years in NPS; maximum 25% of own contribution; maximum 4 times before age 60 (post Dec 2025); 4-year mandatory interval; 3-year interval if continuation post-60.
- Purpose: higher education / marriage of children; one-time purchase or construction of residential property (subject to no-existing-house rule); medical treatment of self/spouse/children/parents (broad allowance after Dec 2025 Amendment — earlier specified disease list removed); medical/incidental expenses on disability; settlement of financial obligation against lien on account.

10.8 Composition of PFRDA

- Chairperson (1) — 5 years / 65 years.
- Whole-time Members (3) — 5 years / 62 years.
- Part-time Members (3) — 5 years.

— *End of Study Booklet* —

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